APM Project Management Qualification

Learner Study Pack

Because when projects succeed, society benefits

Benefits Management

Introduction

This section of the Learner Study Pack will cover the Benefits Management competence of the APM Project Management Qualification.

This section will enable you to gain an understanding of benefits management as the identification, definition, planning, tracking and realisation of benefits.

Learning objective and outcomes

Learning objective:

9. Understand benefits management as monitoring of benefits realisation throughout a project.

By the end of this activity, you should be able to:

9a) Understand what is meant by benefits management (including identification, definition, planning, tracking and realisation).

9b) Understand the importance of aligning benefits with strategic objectives and ways in which the benefits of a project can be communicated to stakeholders.

Study time

This section of the Learner Study Pack will take approximately 1 - 2 hours to complete.

Recommended resources

In addition to your Learner Study Pack, use the below references for more information on Benefits Management:

- APM Body of Knowledge Seventh edition 4.1.1 (Success and benefits)
- APM (2017) Benefits management life cycle https://www.apm.org.uk/resources/find-a-resource/benefits-management-lifecycle/
- APM (2019) What is benefits management? https://youtu.be/4qfaNFYtKa8

Overview

Projects initiate change and to make change more acceptable, as well as showing the value to all of those involved, the benefits of the project must be clearly presented.

These benefits could be tangible things such as money saved or new jobs created, or more intangible things like improved public perception or greater customer satisfaction.

However, identifying these benefits is just the beginning - they need to be actively managed to be effectively realised.

Five Elements of a Benefits Management Plan

The five key elements of a Benefits Management Plan are:

1. Identification

Benefits must be identified to manage them and show return on investment (ROI). Requirements can be captured from sources such as the business case and stakeholders.

For more information, refer to either the Business Case, or Stakeholder Engagement and Communication Management competencies.

2. Definition

A benefits management plan will define how the benefits will be managed through transition into operational use and the roles and responsibilities involved.

It will also define how the benefits should be measured and the regularity of the management overview.

Each benefit (and disbenefit – a disadvantage or loss resulting from something) should be documented in terms of priority, inter-dependencies, value, timescales, and ownership.

3. Planning

This involves capturing baseline measurements, agreeing targets, setting the timeline and milestones for realising benefits and their dependencies on project outputs.

This allows the impact of any changes during the deployment phase to be assessed on the planned benefits.

4. Tracking

Tracking benefits throughout the project deployment phase helps to inform when changes are needed to the scope or timescale.

It also ensures outputs are still supporting said benefits.

Agreement on which benefits are to be tracked should be made early in the project life cycle setting baseline measures against which to monitor.

5. Realisation

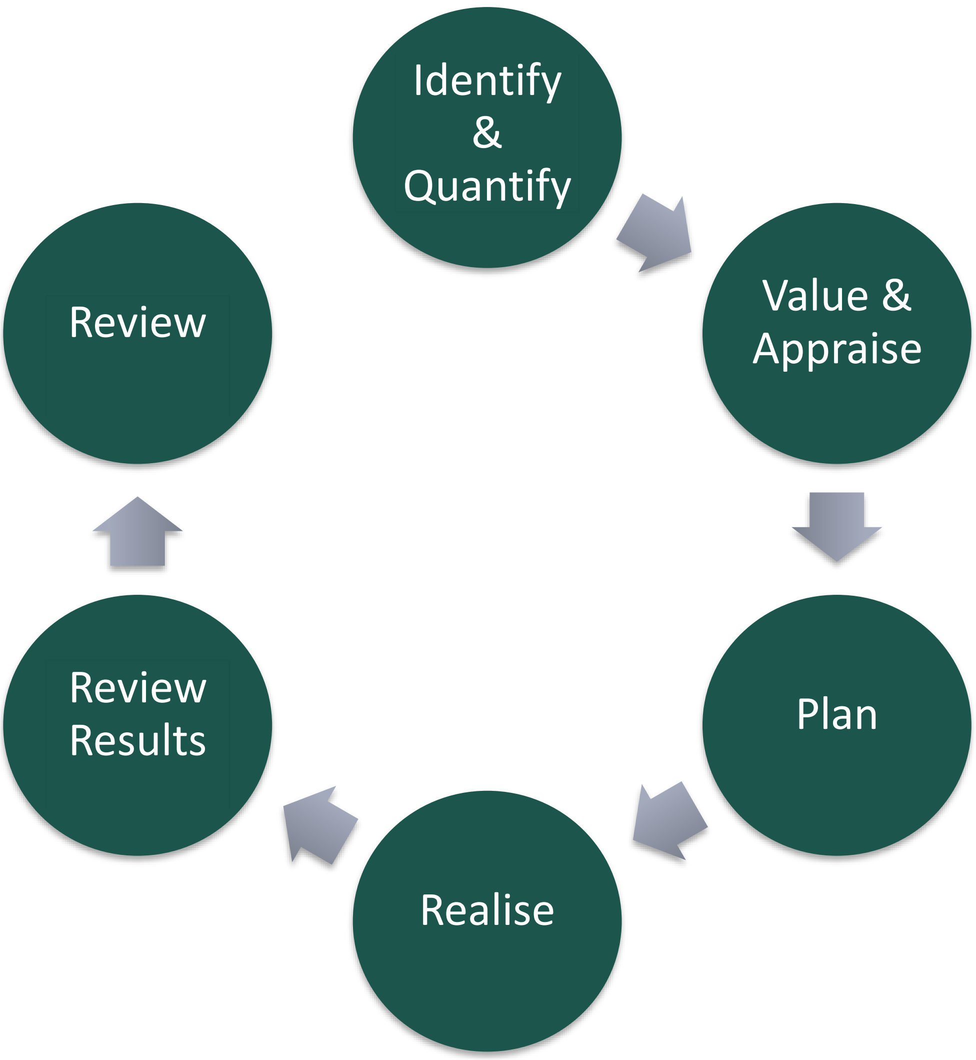
Realisation of benefits comes when the project outputs are embedded and the operation changes for the better.

A change manager may be put in place to track the realisation. In the absence of a change manager, a representative from the relevant department, or member of the senior leadership team could take be responsible for tracking the realisation.

The bulk of benefits may only be realised after the project is completed and therefore long-term actions and monitoring may be needed for continued realisation.

Benefits Management Life Cycle - Stages

The Benefits Management Life Cycle is an effective way to ensure that the appropriate and applicable benefits are identified, as well as continuously reviewed.



Identify and Quantify

- Identify and involve stakeholders in the benefits and change process
- Benefits aligned to strategic objectives
- Benefits maps used to identify relationships between benefits

Value and Appraise

- Produce an outline business case
- Establish baseline measurements
- Establish realistic benefit targets
- Undertake analysis to understand stakeholder interests and concerns

Plan

- Describe benefits and relate changes
- Establish responsibility for benefits realisation
- Categorise and structure benefits in terms of the type of change needed
- Establish change success criteria

Realise

- Monitor, track and report benefits realisation
- Optimise changes for maximum benefits realisation
- Evaluate realised benefits

Review Results

- Identify additional benefits
- Identify the benefits possible through business changes
- Identify the benefits possible from further investment

Review

- Assess Benefits Management Capability development
- Identify how to improve the benefits management process

Other considerations

There are additional considerations that may need to be addressed as part of the Benefits Management Life cycle, including:

A Transformative Impact

The introduction of benefits into an organisation can rightfully be regarded as a transformational change.

To be effective the culture and behaviours of an organisation must support internal and external collaboration. Open and frank discussion around benefits and solutions must be accommodated at all levels of the organisation.

All stakeholders have a role to play in achieving successful change outcomes and benefits management activities help bring stakeholders closer to the reasons for change, options for change and the development of the required solutions

Ownership

Having sponsorship for benefits management at board level really helps with adoption across the business. It is essential that the sponsor of the programme understands that they are accountable for realising the benefits in the business case.

It is also important to get the affected parts of the business involved in making sure the necessary changes happen.

Visibility

Introducing benefits management to an organisation increases visibility of failures as well as successes, so there is sometimes a reluctance to embrace it across the organisation at first.

However, the benefits of having a shared vision, shared objectives and everyone understanding their role in achieving them far outweighs the risk.

Benefits Management Capability

Benefits management is best implemented and developed as an organisational capability.

A capability improvement approach might include:

- benchmarking against other similar organisations
- benefits capability assessments, for example P3MS maturity assessment
- benefits capability improvement planning
- networking and knowledge sharing facilities
- training and benefits tool support

Optional - Benefits Framework

A portfolio level document used to support the management of the benefits across multiple projects and programmes.

It sets the standards for benefits definition and management including:

- Benefits mapping
- Measures rules and guidelines
- Valuation methods

- Evaluation
- Categorisation

Aligning Benefits with Strategic Objectives

To ensure transparency, all benefits should be aligned with the strategic objectives of the project and ultimately the organisation.

- **Business Case**

Benefits should be defined within the business case for each project or programme, detailing how the contribution of benefits will aim to achieve the operational, organisational or business strategy.

The accountability of benefits realisation sits with the Project Sponsor but will not be known until after transition into the 'business as usual' or 'in-use' phase – when the change has been part of the organisation's operating strategy for some time.

- **Benefits Mapping**

Benefits should be strategically aligned to investment decisions taken.

All projects are designed to bring benefits to an investing organisation.

Benefits have a tangible value usually expressed in monetary terms to justify the investment.

- **Benefits Identification and Measurement**

Benefits management involves identifying and agreeing the benefits and how they will be measured, monitored and managed over the course of the project.

This helps to assess and track the impact of programme or project benefits on business performance across the organisation.

End benefits should equate to achieving a given strategic objective, intermediate benefits are steps towards achieving these.

In the context of constructing a new office (End benefit), the intermediate benefits could include – improved employee engagement, more sustainable and efficient working environment, more appeal for external recruitment, etc.

Communication of Benefits to Stakeholders

As well as achieving the benefits of the project, it is just as important to communicate those benefits to all stakeholders, both internal and external.

Various methods can be used to communicate benefits, including:

- Workshops, In-house roadshows, meetings, AGMs.
- Emails, Intranet updates, Organisational communication tools like Yammer, MS Teams, etc.
- Reports (One off, Monthly, Quarterly).

In addition to considering the most appropriate method for communication, it is also important that the communication style reflects the organisation's culture and behaviours.

You may want to consider:

- What is the tone and language used across the organisation? What feels authentic to the company branding?
- What are the values of the organisation? What does the company 'hold dear'? What is 'mission statement' that the company follows?
- Is there an accepted organisation wide method for communications that can be adopted?

Below are some important things to consider when communicating benefits to stakeholders:

- Benefits are quantifiable and measurable improvements resulting from completion of deliverables that are accepted, utilised and perceived as positive by stakeholders.
- End benefits will be known following transition into use, therefore these need to be communicated to stakeholders by the project sponsor.
- It is important that benefits and ways in which these will be measured, monitored and managed throughout the project are agreed with stakeholders early on.
- Stakeholders should be consulted to understand how benefits should be attributed within the investment appraisal and business case and how these should be mapped to organisational strategic drivers.
- Reporting on the achievement of intermediate benefits will demonstrate progress towards the end benefits.
- Benefits reviews can be held some time following transition to demonstrate to stakeholders how the benefits identified within the business case have been achieved.
- Audits facilitate an independent review of how the project or programme has achieved the intended benefits; this independent assessment of compliance can give confidence to stakeholders on the strength of the alignment of benefits achieved with the original business case objectives.

Scenario One:

Lee, the HR Manager has come to you with a bit of a dilemma.

Due to the nature of the 'Snappy Appy' renovation project, it will pose a significant disruption to the working lives of all the existing personnel, and they are concerned about the impact on employee morale.

They are hoping to mitigate this impact by sending out an email that will outline the benefits of the renovation, so that all the employees have a clear understanding of how they will benefit from the planned renovation.

Draft an email that will be sent to all employees outlining at least three benefits that they will see as a direct result of the renovation project.

What other ways or methods could be used to communicate the benefits to the 'Snappy Appy' employees?

What steps could Lee take to minimise the impact of the renovations on the staff?

Scenario Two

The figures are starting to add up – Robin, the Finance Manager is beginning to get nervous about the investment required for the project and is looking for reassurance!

They are concerned that the project could detract from the overall strategic direction of the company and would like to know what steps you are taking to ensure that the project is aligned to the strategic direction of 'Snappy Appy'.

How would you outline to Robin the ways that the Business Case, Benefits Mapping, Identification and Measurement will be used to ensure that the project aligns with the company's strategic direction?

What role will Snappy Appy's organisational culture and behaviours play in successfulbenefits realisation?

Learning review questions

Before you attempt the exam practice questions in the next section, we recommend you review your learning to quickly see which aspects you don't understand or can't remember as well.

It will also boost your confidence by confirming what you have learnt and your demonstrated ability to apply that knowledge, so that you are ready to practise for the exam.

Here are some questions you may wish to answer to review your learning from the Benefits Management section:

- What is the role of the business case in determining project objectives?

Exam practice questions

9.1 Select the statements that correctly describe benefits management.
(1 mark)

1. Benefits realisation is the final phase of the project lifecycle, and its main focus is on financial reporting.
2. Benefits baselines need to be established as soon as project outputs are delivered.
3. The cost of measuring a benefit should be considered as part of the benefits management process
4. Benefits mapping is a technique used to link project deliverables to specific benefits.
5. Benefits tracking and adjustment should only occur during the project's execution phase.
6. A Benefits Realisation Plan outlines the actions required to ensure benefits are achieved post-project completion.

Select the correct combination of three statements:

a. 1, 3 & 6
b. 2, 4 & 6
c. 3, 4 & 6
d. 2, 3 & 5

9.2 You are a project manager introducing a new HR platform. You need to undertake an initial communication with employees to create awareness of and engagement in the project.

Which is the most appropriate approach?
(1 mark)

a. Send all employees a copy of the project's business case.
b. Send all employees an email from the project sponsor.
c. Send all employees the technical specifications of the new HR platform.
d. Invite all employees to a series of webinars.

9.3 There are 5 steps in the benefits management process:

- Identification
- Definition
- Planning
- Tracking
- Realisation

Explain the purpose of each of the five steps.
(5 marks)

9.4 You are managing a project to implement a new software system for your organisation's payroll department. This involves transitioning away from your current supplier and working closely with a new supplier. The risks of this are being carefully managed, so that the schedule can remain on track. Your project sponsor is new to the organisation and has inherited the project from the previous HR director.

(2 marks)

As part of the benefits management process, you gather information from___(a)____to help identify the benefits a new payroll system will deliver to the organisation.

Once you have identified the benefits, you move onto the next phase of the process,_____(b)_____ the benefits.

(a)

1. The project sponsor
2. Your current supplier
3. The project risk log
4. The project schedule

(b)

1. Planning
2. Defining
3. Realising
4. Tracking

Exam practice answers

Question	Answer / Mark scheme
9.1	C
9.2	D
9.3	1 mark per correctly explained purpose for each step, 5 marks available in total.Only 1 mark is available per step: **Identification** • If benefits are not identified, they cannot be managed. • Ensure the project is worthwhile and justified by identifying benefits. **Definition** • Make sure the benefits are clearly understood. • Allows the project manager to identify what benefits are realistic. • Defines how the benefits will be measured / tracked. • Defines roles and responsibilities for benefits. **Planning** • Captures baseline measurements and agree targets. • Sets the timeline for delivering the benefits. • Allows impact of any changes in the project on benefits tobe assessed. **Tracking** • Helps to identify if any changes are needed in the project to ensure outputs still deliver benefits. **Realisation** • Makes sure business embeds / realises the benefits. • Long-term management may be needed as benefits often realised post-project. • Makes sure business doesn't fall back on 'old way of doing things' and accepts changes.
9.4	(a) 1 (b) 2